

CANADA'S PATH TO NATO'S DEFENCE SPENDING TARGETS

A Business Analysis of Canada's Fiscal Trajectory, 2014–2035

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Business Analyst Portfolio Project | Power BI Model & Fiscal Gap Analysis

The Problem

Canada just hit NATO's 2% target after 35 years — and NATO already moved the goalposts.

35

years Canada missed NATO's 2% of GDP benchmark before reaching it in FY2025-26

\$71.5B

projected 2026 annual defence spending — up more than 3.5x since 2014

5.0%

NATO's new collective target by 2035 (3.5% core + 1.5% security infrastructure)

\$68B

estimated annual funding gap to reach the 3.5% core target by 2035-36

Business Analysis Approach

A structured BA process, not just a dashboard — from stakeholder needs to published insight.

01

Stakeholder Requirements

Identified stakeholder groups, interests, RACI, and communication plan

02

Project Requirements

Scoped functional & non-functional requirements, data needs, success criteria

03

Strategy & Data Sourcing

Defined analytical approach and sourced NATO, StatCan, and PBO datasets

04

Modeling & Dashboard

Built star-schema model in Power BI with DAX measures and 8 visuals

Data Sources & Tools

Public, primary-source data only — fully traceable and reproducible.

DATA SOURCES

- NATO Annual Defence Expenditure Report 2026 — spending by country, % of GDP, 2014–2026
- Statistics Canada, Table 36-10-0104-01 — quarterly nominal GDP
- Parliamentary Budget Officer — Fiscal Implications of Meeting NATO's 5% Commitment (Feb 2026)
- Department of National Defence — official 2% milestone announcement, March 2026

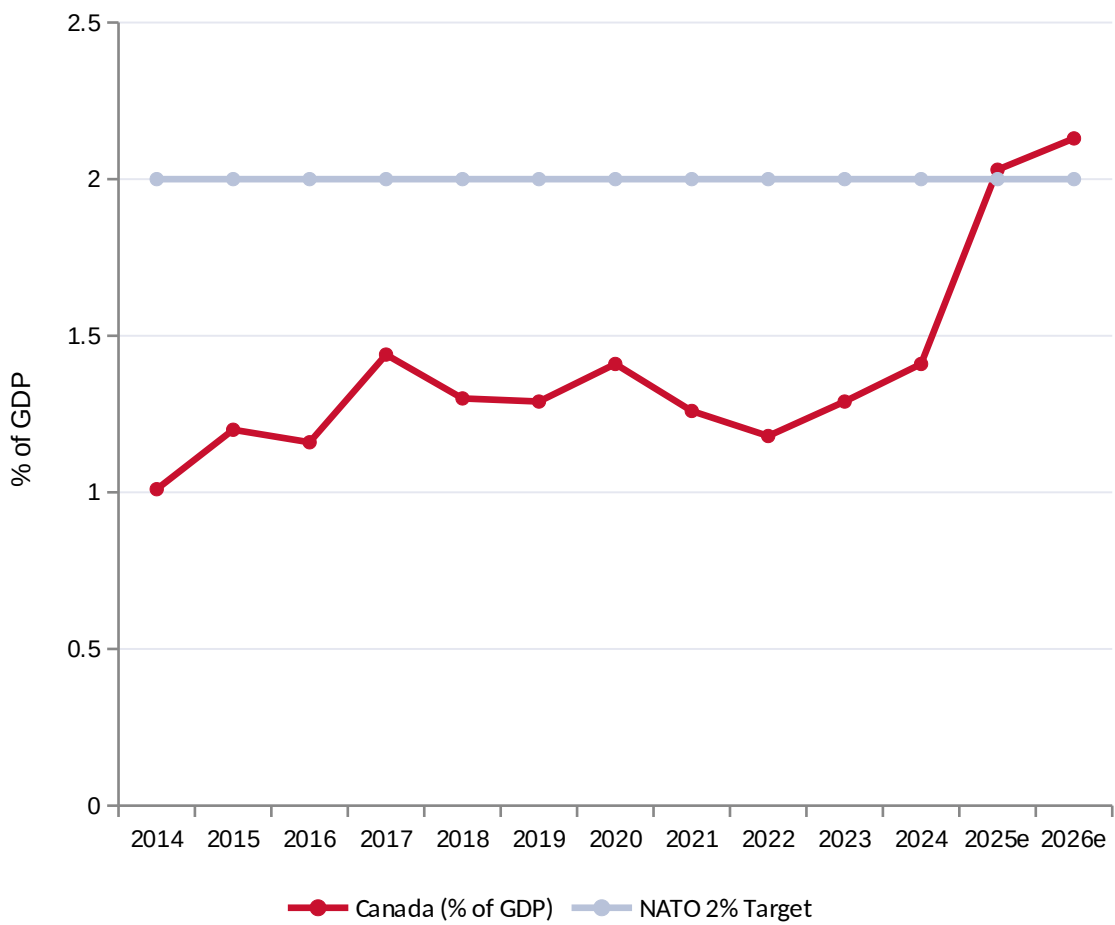
TOOLS & METHOD

- Power Query — data cleaning, unpivoting, type shaping
- Power BI Desktop — star-schema model, DAX measures
- DAX — % of GDP, YoY change, NATO rank, gap calculations
- Power BI Service — publishing & sharing

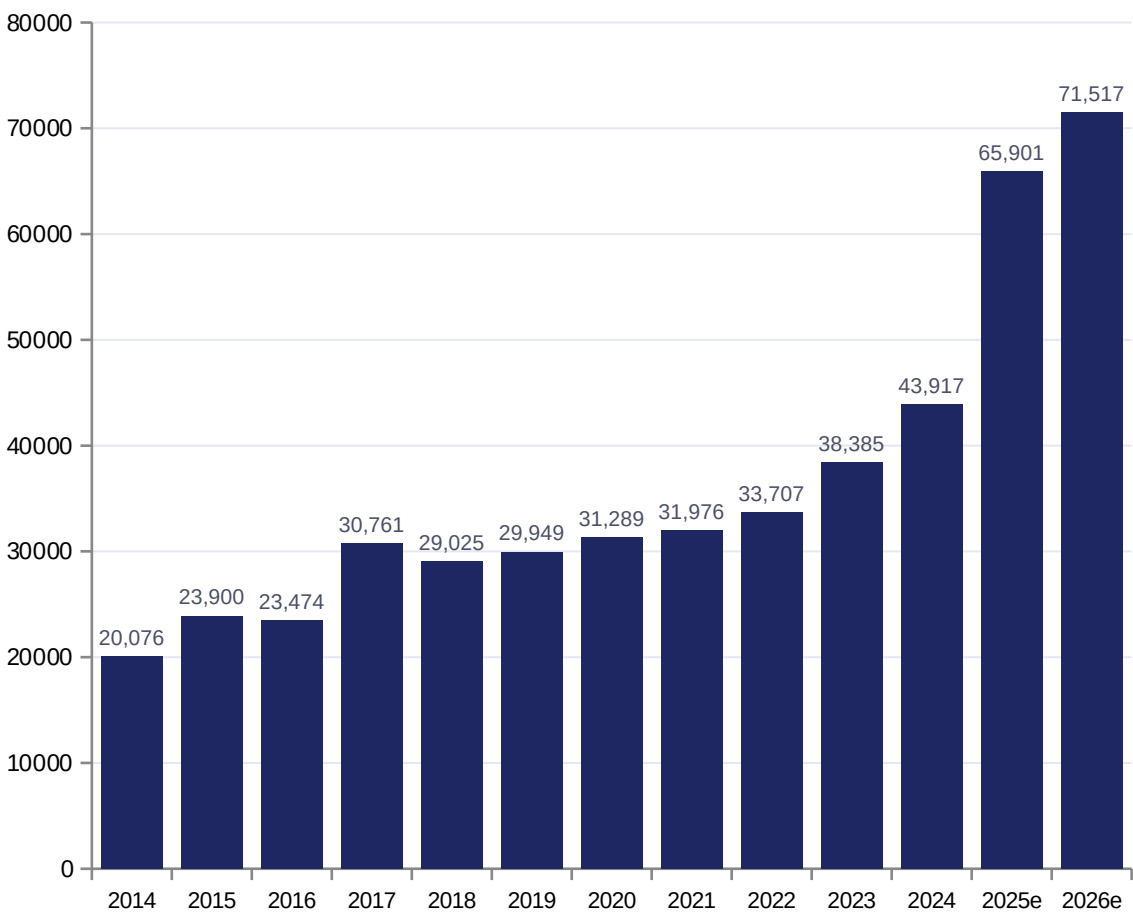
Historical Trajectory

Canada's defence spending, 2014–2026 — as a share of GDP and in absolute dollars.

% of GDP vs. NATO's 2% Benchmark



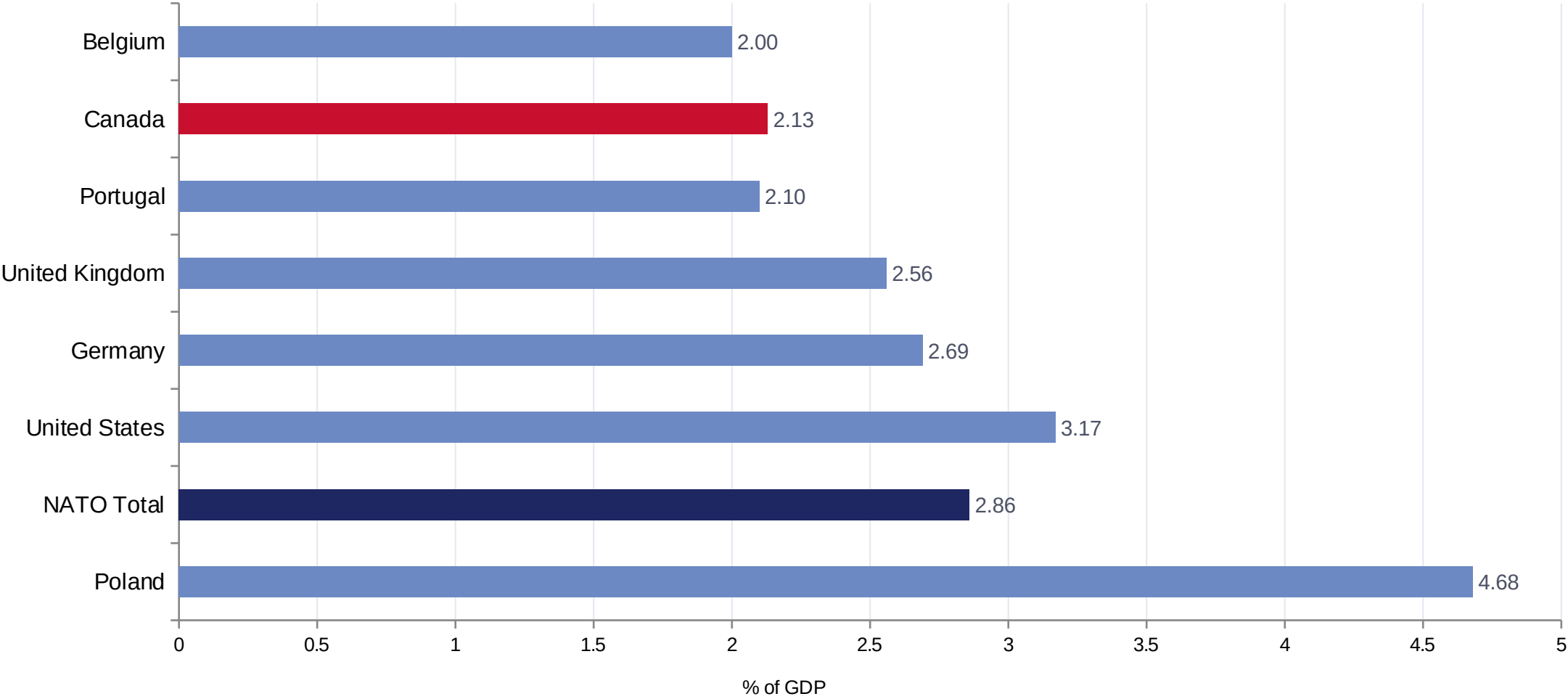
Absolute Spending (\$ CAD Millions)



Source: NATO Annual Defence Expenditure Report 2026. 2025/2026 figures are NATO estimates.

Where Canada Stands

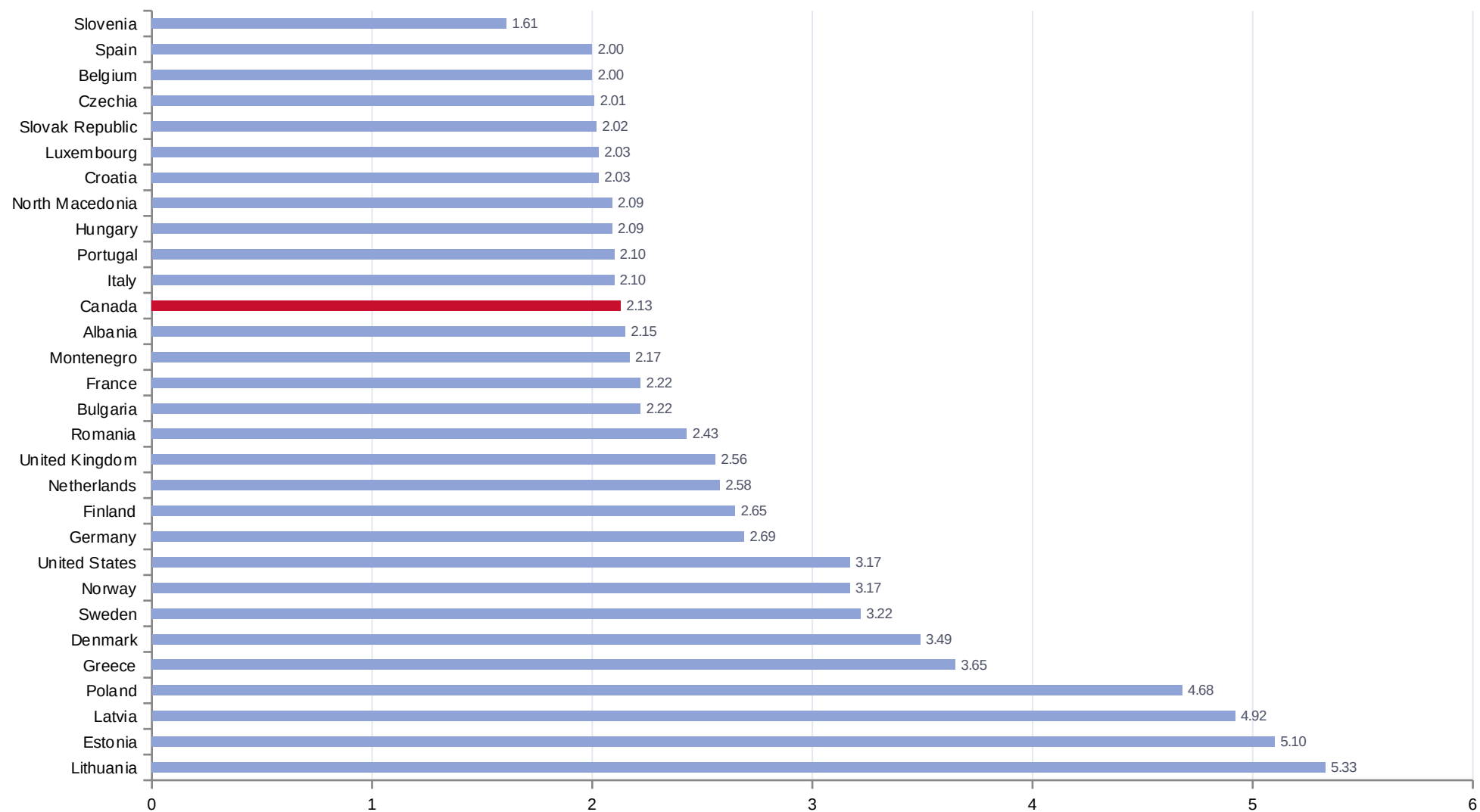
Defence expenditure as % of GDP, selected NATO members — 2026 estimate.



Source: NATO Annual Defence Expenditure Report 2026 (2026e). Canada highlighted in red.

Full NATO Ranking

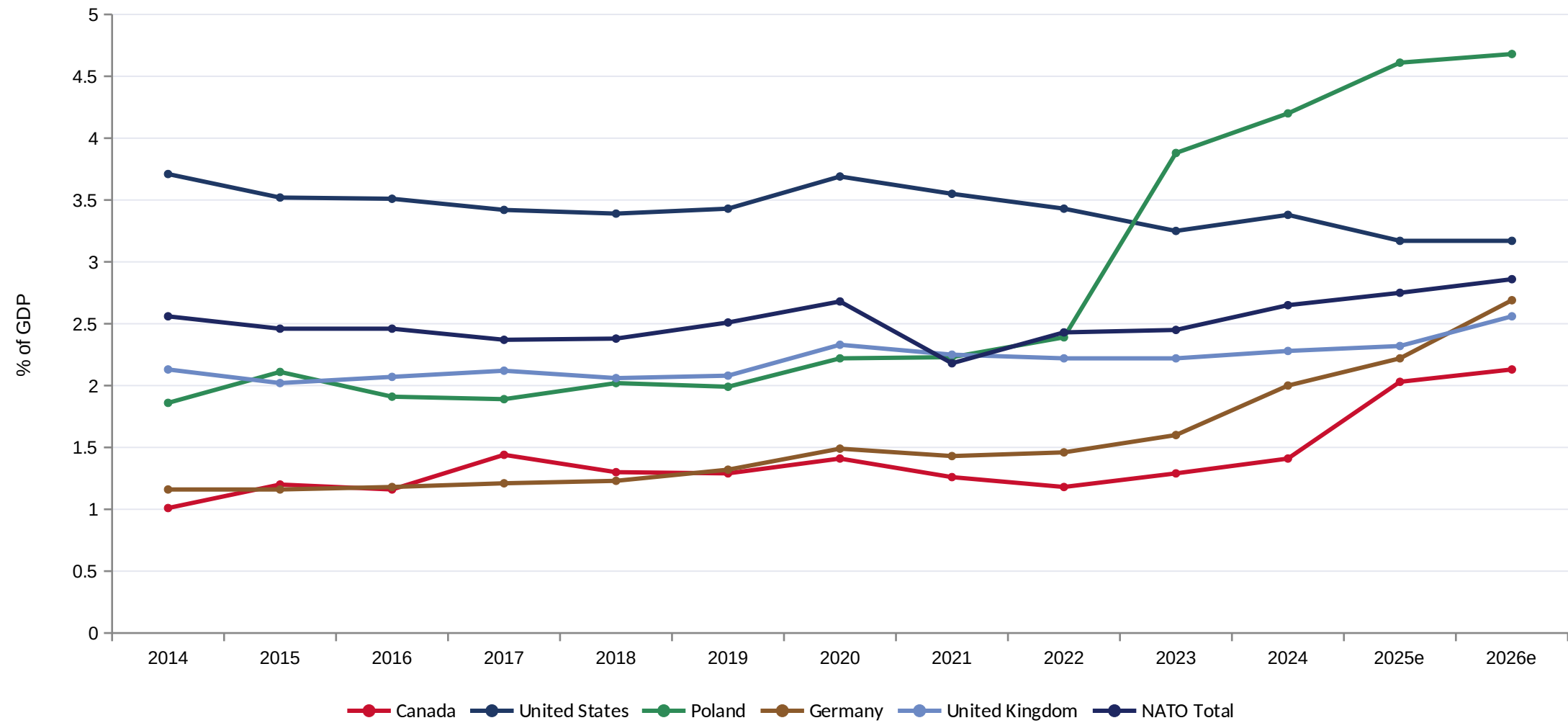
All 30 NATO member countries, % of GDP — 2026 estimate. Canada ranks 19th.



Source: NATO Annual Defence Expenditure Report 2026 (2026e). Canada highlighted in red.

Peer Trajectories, 2014–2026

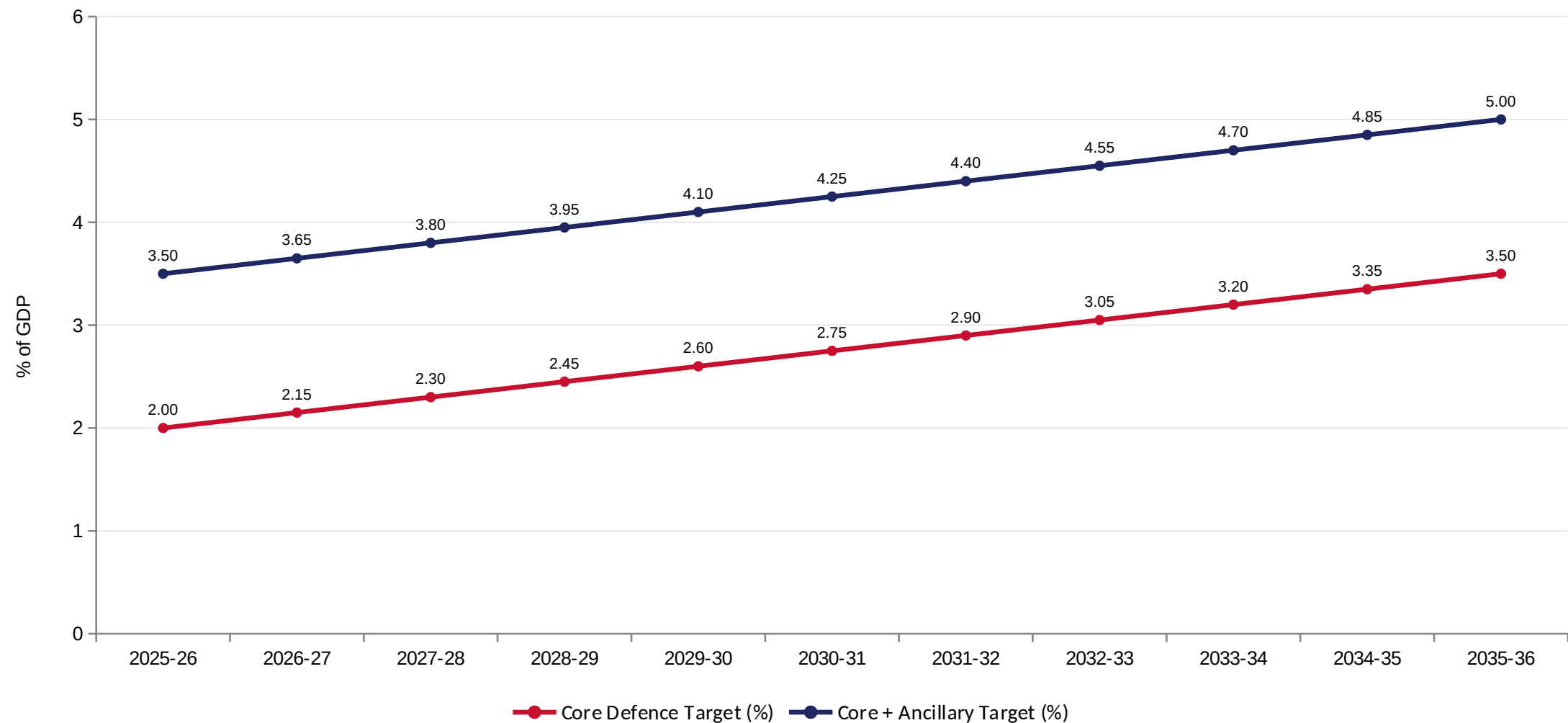
Canada's growth against key NATO peers and the alliance average.



Source: NATO Annual Defence Expenditure Report 2026.

Glide Path to NATO's 2035 Targets

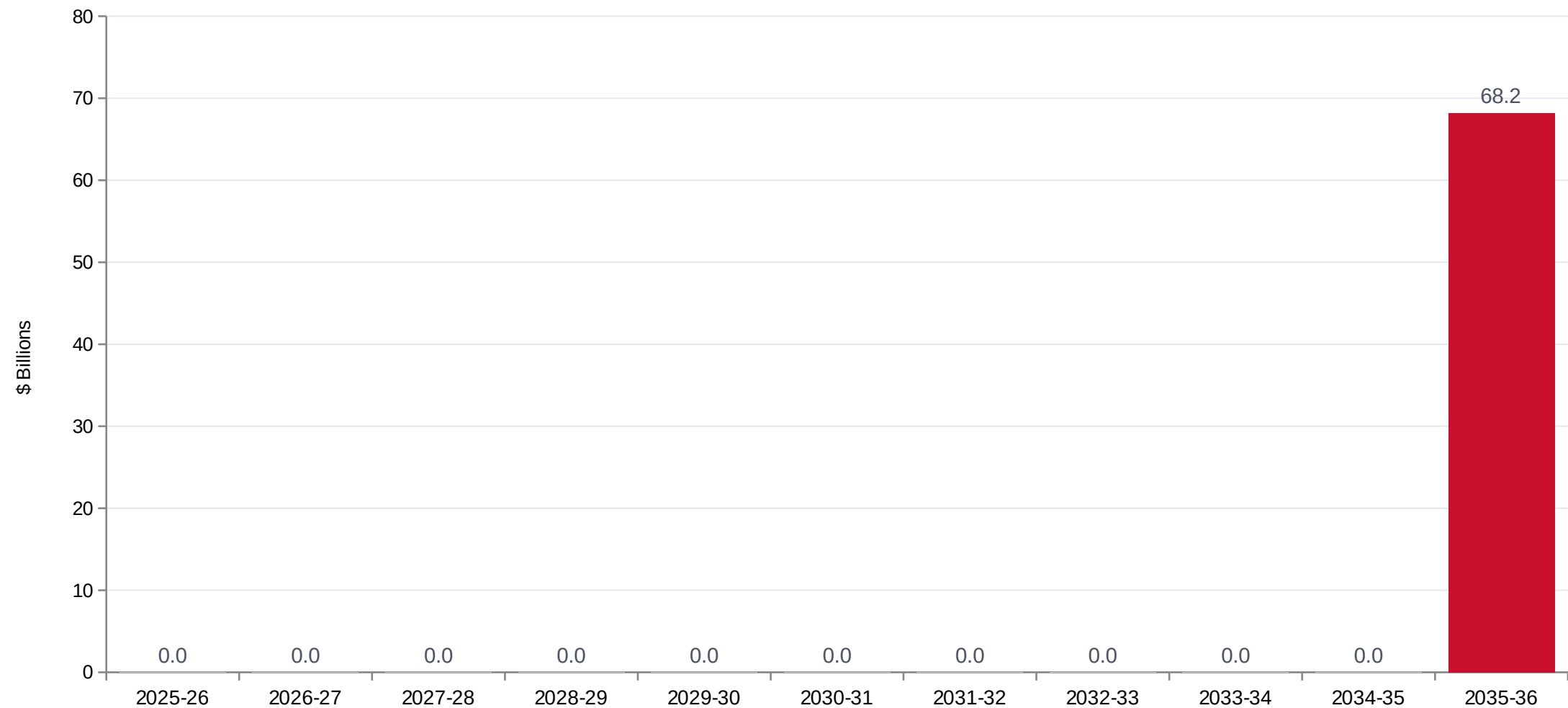
Core (3.5%) and Core + Ancillary (5.0%) targets, 2025-26 to 2035-36.



Source: Parliamentary Budget Officer, Fiscal Implications of Meeting NATO's 5% Commitment (Feb 2026).

Funding Gap to the 3.5% Core Target

Annual cash gap, 2025-26 to 2035-36 — the gap is concentrated almost entirely in the final year.



Source: Parliamentary Budget Officer, Feb 2026. PBO published only a terminal-year gap figure, not an interim glide path.

At a Glance

2.13%

Canada's current defence
spending as % of GDP (2026e)

19th

Canada's rank among 30 NATO
members (2026e)

6.3 pts

projected debt-to-GDP impact of
reaching the 3.5% core target by
2035-36

\$68.2B

annual funding gap to reach the
3.5% core target in 2035-36

Key Insights



A real milestone, not the finish line

Canada's 2026 spending sits at 2.13% of GDP — above the old 2% bar, but 19th of 30 NATO members and well below the new 3.5% core target.



The gap is back-loaded, not gradual

PBO's published path shows almost no funding gap through the early 2030s, then a sudden \$68.2B jump in the terminal year (2035-36) — a compressed, not gradual, ramp.



Debt-to-GDP impact is material

Reaching the 3.5% core target is projected to add roughly 6.3 percentage points to Canada's debt-to-GDP ratio by 2035-36.



Canada still trails most peers

Even after the 2026 increase, Canada sits behind the US, Poland, Germany, and the UK — solidly in the bottom half of the alliance.

Thank You

Full documentation — stakeholder, requirements, and strategy documents — and the live Power BI dashboard are available on request.

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